

proposition. Without seeking to prophesy the future, may it not suffice to declare that the *investor* cannot safely rely upon a *general* growth of earnings to provide both safety and profit over the long pull? In this respect it would seem that we are back to the investor's attitude in 1913—with the difference that his caution *then* seemed needlessly blind to the powerful evidences of secular growth inherent in our economy. Our caution today would appear, at least, to be based on bitter experience and on the recognition of some newer and less promising factors in the whole business picture.

Individual Growth as Basis of Selection. Those who would reject the suggestion that common-stock investment may be founded securely on a *general* secular expansion may be attracted to a second approach. This stresses the element of selectivity and is based on the premise that *certain favored companies* may be relied on to grow steadily. Hence such companies, when located, can be bought with confidence as long-term investments. This philosophy of investment is set forth at some length in the 1938 report of National Investors Corporation, an investment trust, from which we quote as follows:

The studies by this organization, directed specifically toward improved procedure in selection, afford evidence that the common stocks of growth companies—that is, companies whose earnings move forward from cycle to cycle, and are only temporarily interrupted by periodic business depressions—offer the most effective medium of investment in the field of common stocks, either in terms of dividend return or longer term capital appreciation. We believe that this general conclusion can be demonstrated statistically and is supported by economic analysis and practical reasoning.

In considering this statement critically, we must start with the emphatic but rather obvious assertion that the investor who can successfully identify such “growth companies” *when their shares are available at reasonable prices* is certain to do superlatively well with his capital. Nor can it be denied that there have been investors capable of making such selections with a high degree of accuracy and that they have benefited hugely from their foresight and good judgment. But the real question is whether or not *all* careful and intelligent investors can follow this policy with fair success.